

Ideal Minimum Wage In New York City According to Inflation Trends

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1. Introduction and Problem Statement

During his election campaign, mayor elect Zohran Mamdani shared his intentions to steadily increase the New York City minimum wage, projecting that it should reach \$30 by 2030. This proclamation of “30 by 30” is the first of many proposals made by New York City officials during the past few years, and it comes as a direct response to the growing economic pressures that New York City residents are facing, especially due to the aftermath of record high inflation following the COVID-19 pandemic.

Beyond Mamdani’s proposal exists previous attempts such as the Rise Up NY proposal and the FY24 Executive Budget bill, where the objective is to not simply increase the minimum wage, but to increase it by way of tying it to inflation, something that has not been done since the first minimum wage of \$1.00 was established in 1960. Although these plans seek to rectify the longstanding affordability crisis that over 60% of New Yorkers are facing, there are still underlying questions and concerns that we feel the need to address, most importantly being the effectiveness of the newly calculated wage values. For example, many of the aforementioned policies seek to take effect starting 2027, meaning that the newly determined wage will not only be a result of inflation but it will also be determined based on the 2026 minimum wage value, acting as a reference point. However, the problem lies in the fact that if the 2026 minimum wage value is truly as “unfair” as many claim it to be, this unfairness may still affect the subsequent wage calculations, potentially making those values still incapable of supporting an ideal standard of living for New Yorkers.

In order to mitigate this, our purpose for this project is to recalculate the minimum wage from previous years, this time including inflation by way of utilizing the Consumer Price Index (CPI). By recalculating, we determine whether an offset needs to be had before the minimum wage is officially tied to inflation starting in 2027. Essentially, allowing us to determine whether our reference point needs to be shifted first, in order to ensure that its unfairness doesn’t carry through and impact later wage calculations. Lastly, we also hope to develop a more objective evaluation of the “fairness” of minimum wage values. The purpose of minimum wage is to ensure that employees are paid the least amount of money needed to afford a *good standard of living*, however, not only does the standard change, there is rarely an objective measure for what a good standard of living even is, which then makes it difficult to properly evaluate whether the minimum wage is functioning as it should during a given period.

2. Research Hypothesis

If the minimum wage in New York City had matched inflation over time since its most valuable point, it would be much higher than the current minimum wage, because the current wage does not reflect the cost of meeting current basic needs [13]. It then follows that the minimum wage has not kept up with increases in prices over time since that point. We hypothesize that adjusting the \$1.60 minimum wage

from 1968 (the year with the most valuable minimum wage since its introduction) for inflation would yield a value higher than the current \$17 per hour in 2026 [2] [6].

1968 Minimum Wage

Barnard College Economics Professor David Weiman found that the New York City minimum wage was most “valuable” at \$1.60 in 1968, or \$10.86 in 2014 dollars. A big reason for this was because of the decrease in social services provided to citizens after 1968, reducing the minimum wage’s power to provide for a majority of the citizens’ needs [6]. This includes the end to free college tuition to City University of New York (CUNY) students, lower government subsidies for transit leading to greater fare hikes, the closing of public hospitals, and more limited affordable housing programs [9]-[11]. David Weiman’s rationale for setting the most valuable minimum wage in 1968 was because the \$1.60 per hour could cover the \$886 median monthly cost of New York City rent plus utilities [6]. This also implies that “rental plus utilities” was the bulk of consumer spending, with most other services subsidized by the government.

3. Data Description and Suitability

Two main data sets were used in this project. This included the “History of the Minimum Wage in New York State” [2] and “Consumer Price Index, Northeast Region – March 2026” [3].

History of the Minimum Wage in New York State

This data set provides information in two ways. The first includes the general hour minimum wage in the entirety of New York from 1960 - 2015. Then, starting 2016, New York City varied the minimum hourly wage by location, industry, and company size. For this, we chose to follow the hourly rate for general, non-tipped workers for large employers. This information is then suitable to explain New York City minimum wage over time for citizens who worked in general industries and for large employers. We prepared the data by transferring the information into a spreadsheet and preparing it as a Comma-Separated Values (CSV) file.

Consumer Price Index, Northeast Region – March 2026

This data set reports the Consumer Price Index (CPI) for urban consumers in New York City from December 1914 to March 2026, as reported by the U.S. Bureau of Labor Statistics. The CPI is reported every December from 1914 to 1918, bimonthly from 1918 to 1934, quarterly from 1934 to June 1940, and monthly from September 1940 to March 2026. To reconcile the varying frequencies at which CPI is reported, we employ a method to calculate inflation from the last recorded CPI of every year. This is better outlined in the *Analytical Methods and Justification* section.

The CPI is an economic instrument that reports how much consumers pay for a “market basket” of goods and services, including food and beverages, housing, utilities, transportation, education, and more [4]. The change in CPI over time allows us to calculate the inflation rate. By limiting the scope of our “market basket” price to New York City prices, we can calculate the inflation rate in New York City specifically over time. Our dataset, then, is suitable for our calculation of inflation rate in New York city every year since 1968.

As we analyzed overall CPI, we became interested in how specific components of CPI affect inflation and minimum wage. The two additional datasets used in this section were “New York City CPI - Housing” [18] and “New York City CPI - Food and Beverages” [17]. Both datasets share the same structure as the overall CPI dataset used in the primary analysis: a Date column recording the first of each month and a Value column storing the CPI level at that point. Both series begin in January 1976 and run through March 2026, giving us 50 years of monthly observations to work with. Food and housing were chosen specifically because they represent the most non-discretionary spending categories for workers. Unlike transportation or recreation, these are costs that minimum wage earners cannot opt out of, which makes them the most honest test of whether a wage is actually sufficient.

4. Analytical Methods and Justification

An inflation adjusted minimum wage that holds the same purchasing power as 1968’s minimum wage

This paper used a data set that recorded New York City’s CPI of at least one month from every year between December 1914 to March 2026 [3]. We aimed to find a minimum wage that was considered satisfactory at the time, and compute what the minimum wage should have been during each year following that data point if the minimum wage kept up with inflation. Ultimately we wanted to find what the minimum wage should be today if it followed this method. We sought out this number because we hypothesized that an “ideal” minimum wage for today could be found by retrieving a perceived ideal minimum wage from NYC’s history and determining the number that holds the same value in today’s currency.

The data set includes a “Date” column which records the first day of varied months for every year between 1914 and 2026, and a “Value” column which stores NYC’s CPI on its respective date. To keep the time steps a consistent size of roughly one year, we only kept CPI values for the latest month recorded from every year between 1914 and 2025 (every year between 1914 and 2025 has a CPI value recorded for December except for 1934, whose latest recorded month is November, and 1935, whose latest recorded month is October. 2026 was excluded from this analysis). Since we discovered that NYC’s minimum wage in 1968 was considered fair, we removed all rows with dates from before December 1968.

We added a column titled “Inflation” and computed the inflation rate for each year with the following formula:

$$Inflation = \frac{CPI_{current\ year} - CPI_{previous\ year}}{CPI_{current\ year}}$$

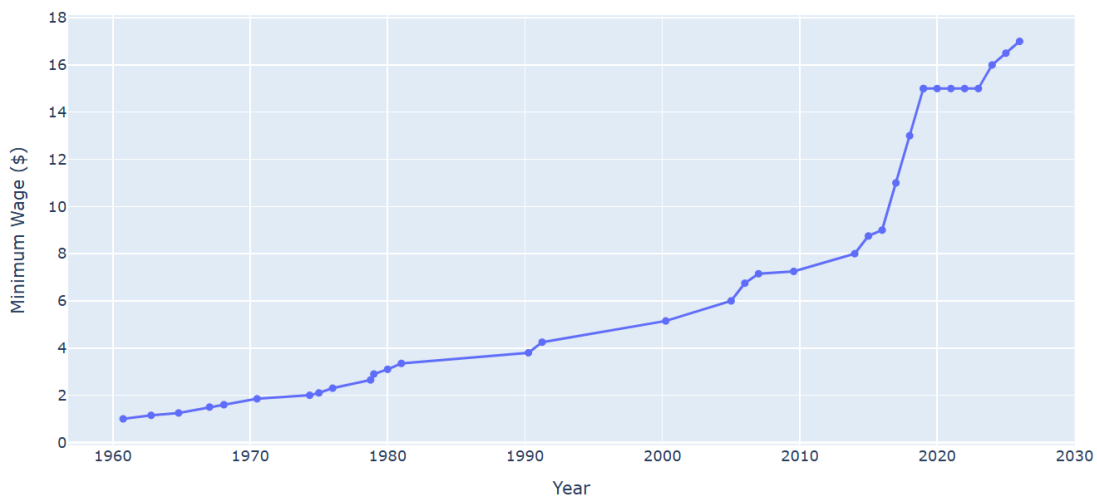
Next, we created a column title “IMW” for the computed ideal minimum wage values. In the first row (December 1968), we inputted \$1.60, which was the minimum wage in 1968. We determined ideal minimum wage values for the following years using this formula:

$$IMW_{current\ year} = IMW_{previous\ year} \times Inflation_{current\ year}$$

According to this analysis, the “ideal” minimum wage for 2025 is \$15.14. The “ideal” minimum wage for every year between 1968-2025 is shown in Figure A.

NYC's minimum wage from 1960-2026

Minimum Wage in NYC from 1960-2026



The plot above displays the progression of minimum wage throughout the years, from its original establishment in 1960 to its present-day value in 2026. The basis for creating this plot wasn't just to depict how minimum wage has changed throughout the years, but to later create a visual compare and contrast between the minimum wage as it is currently changed throughout the years versus the minimum wage adjusted for inflation by way of the CPI.

To make the additional datasets comparable to the overall CPI analysis, the same preparation steps were applied. Dates were parsed, non-numeric values dropped, and each series was reduced to one annual observation per year by keeping the latest recorded month, typically December. This keeps the time steps consistent at roughly one year and avoids mixing multiple months within the same year. Because the food and housing data begin in 1976 rather than 1968, the anchor point for this section is the 1976 minimum wage of \$2.30 per hour, which was the federal minimum wage at the time. From there, the annual inflation rate for each sub-index was calculated as the year-over-year percent change in CPI, and that rate was compounded forward each year to produce an ideal minimum wage (IMW) series for both food and housing independently. These two series were then plotted against the actual NYC minimum wage over the same period.

V. Results and Visualization

Inflation Adjusted 1968 Minimum Wage

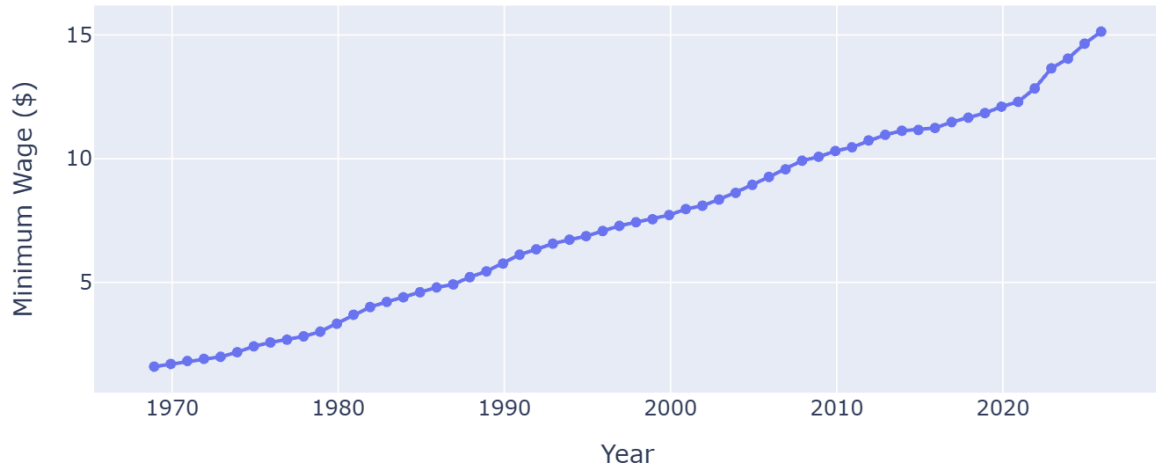


Figure A: Inflation adjusted 1968 minimum wage calculated for every year from 1968 to 2025.

Inflation Adjusted 1968 Minimum Wage and NYC's Actual Minimum Wage

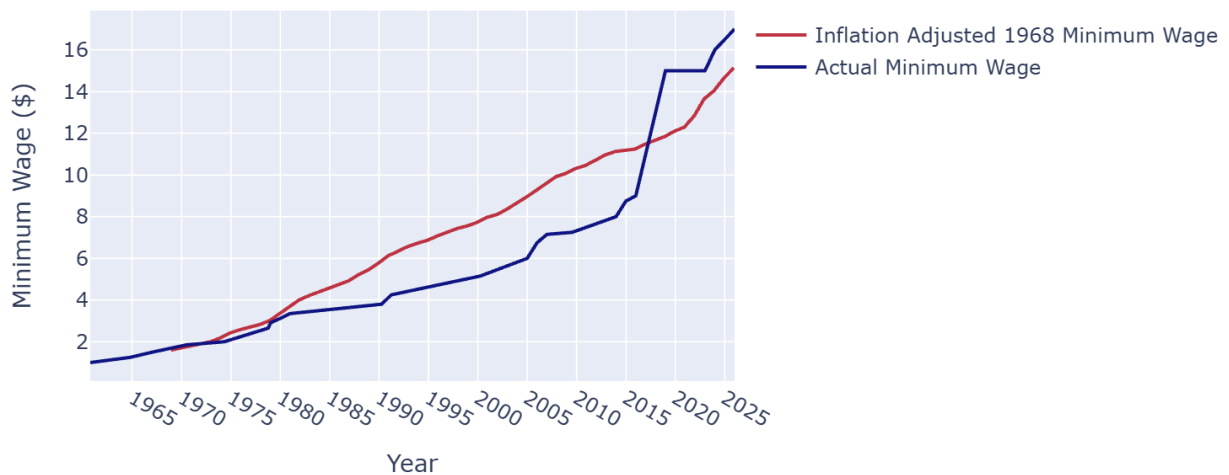


Figure B: NYC's actual minimum wage 1960-2026 versus the inflation adjusted 1968 minimum wage 1968-2025

Annual Inflation Rate by Sector: Food vs Housing (1977–2025)

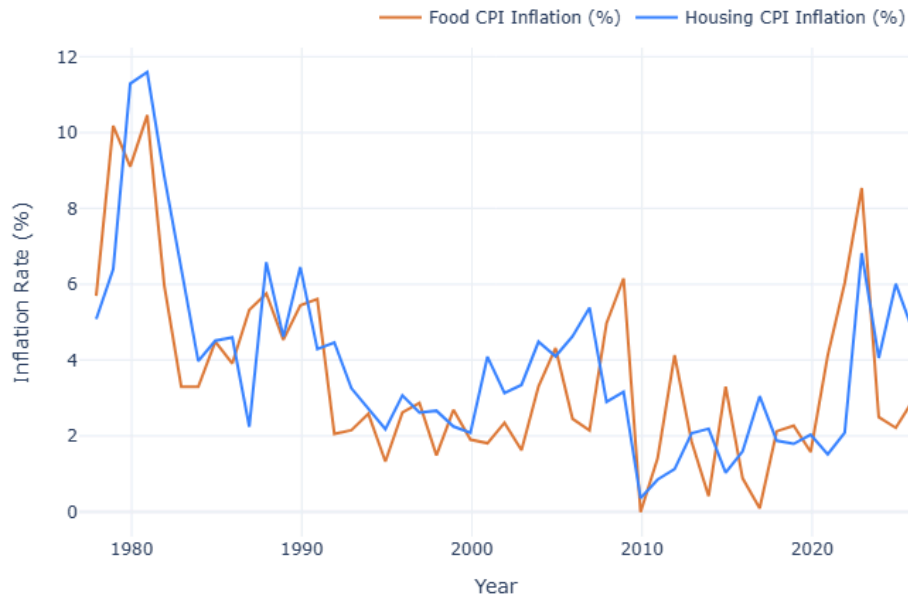


Figure C: Annual inflation rate for food versus housing CPI, from 1977 to 2025.

NYC Minimum Wage: Food-Indexed vs Housing-Indexed vs Actual (1976–2025)

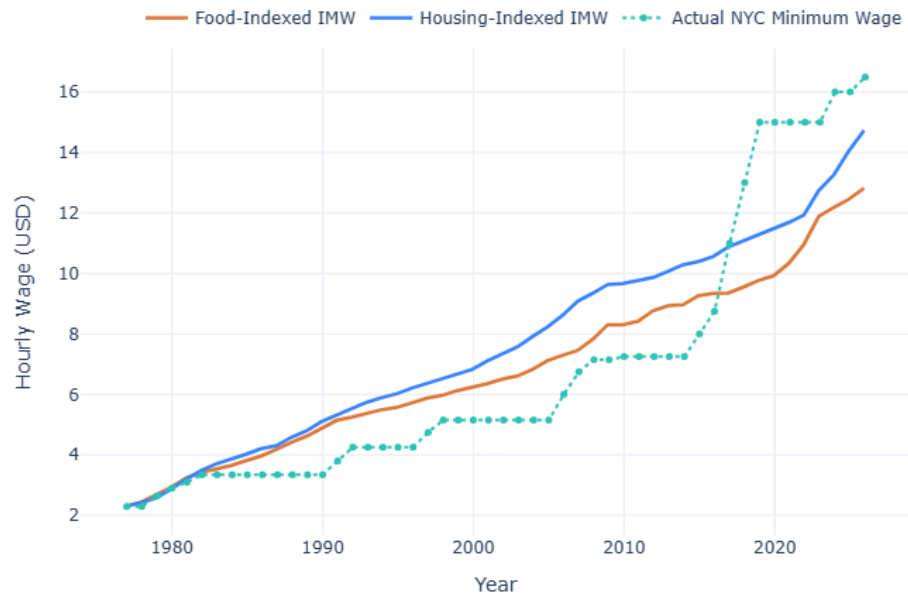


Figure D: Food-indexed and housing-indexed ideal minimum wage compared to the actual NYC minimum wage from 1976 to 2025. Each IMW series represents what the 1976 minimum wage of \$2.30 would be worth had it grown with that sector's CPI each year.

Gap Between Sector-Indexed IMW and Actual NYC Minimum Wage (1976–2025)

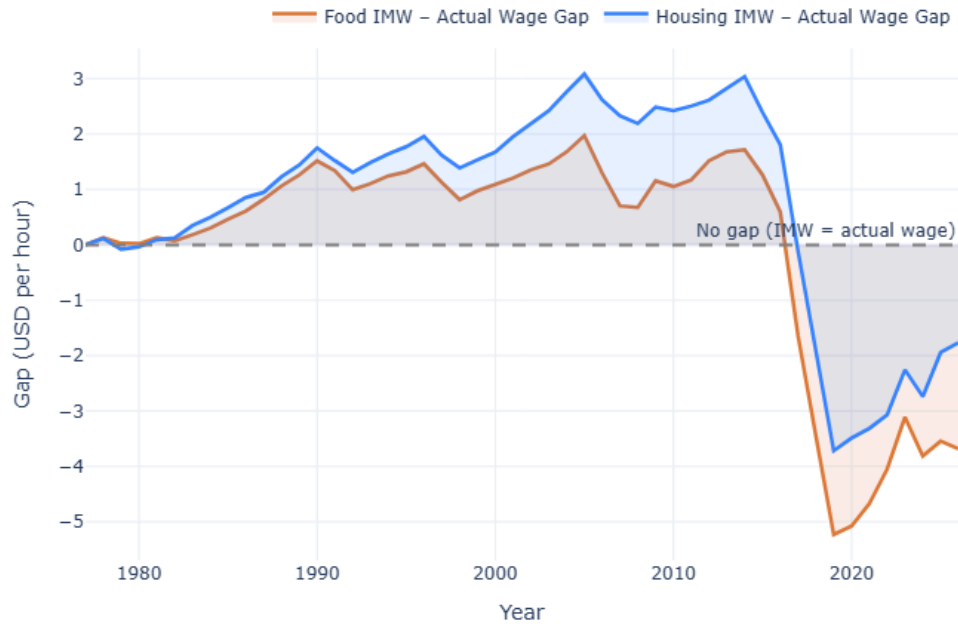


Figure E: The gap in dollars per hour between each sector-indexed IMW and the actual NYC minimum wage from 1976 to 2025. Positive values indicate when the actual wage fell short of what sector-specific inflation would have required.

Analysis

In Figure A, we visualize what the minimum wage would be if it followed inflation trends since its most optimal value in 1968. The increasing trend makes sense as inflation and prices increase and the purchasing power of the US dollar decreases. We find that the ideal minimum wage is \$15.14 in 2026. In Figure B, we find that the actual minimum wage is consistently below our calculated ideal minimum wage from 1968 to 2016, which follows our hypothesis that the actual minimum wage had not kept well with increases in prices after 1968. In fact, the gap between the actual minimum wage and the inflation adjusted minimum wage increased during this period. However, we also observe a sharp increase in the actual minimum wage in NYC from 2016 to 2018, where its value has remained greater than the ideal minimum wage we calculate. This jump marks the period when New York City set a separate minimum wage from the rest of New York State, specifically \$11 in 2016, \$13 in 2017, and \$15 in 2018 [2]. This proves our hypothesis to be incorrect, where the actual minimum wage of \$17 is higher than the ideal minimum wage of \$15.14.

To dig deeper into what drives that overall CPI result, Figures C, D, and E break the index down by two of its most essential components: food and housing. Looking at the full 50-year picture, both the food-indexed and housing-indexed IMW values in 2025 fall below the current NYC minimum wage of

\$16.50, with food reaching \$12.82 and housing reaching \$14.73, consistent with the overall result of \$15.14. However, this was not always the case. From the early 1980s through roughly 2015, both IMW series ran above the actual minimum wage, meaning workers were underpaid relative to food and housing cost growth for about 35 consecutive years. The housing gap reached \$2.50 per hour by 2010, and because over 65% of New York City residents are renters, this pressure was especially significant. Housing costs also grew nearly \$2.00 per hour faster than food costs over the full period, a persistent trend that a blended CPI average tends to obscure. The legislative jump to \$15 between 2016 and 2018 pushed the actual wage above both IMW series for the first time, representing decades of catch-up compressed into a short window. By 2019 the actual wage exceeded the housing IMW by \$3.49, but post-COVID inflation has been closing that gap quickly, narrowing it to \$1.77 by 2025. This is directly relevant to the 2027 indexing proposal: once the minimum wage begins adjusting only at the overall CPI rate, it will preserve but not rebuild purchasing power, and given that housing costs have consistently grown faster than the all-items average, that margin could continue shrinking even as the wage nominally increases.

VI. Conclusions and Recommendations

Discussion

Initially, a method of determining the ideal minimum wage in 2025 was discussed. According to Barnard Professor of Economics David Weiman, minimum wage was most valuable in 1968 when the minimum wage was \$1.60 per hour [6]. Starting from 1968, the analysis in this paper consisted in applying the yearly inflation rate (according to CPI definitions) to the \$1.60 amount to reach an equivalent value for 2025.

The results of the data manipulation indicated that the ideal minimum wage in the current year should be \$15.14, evidently lower than the actual minimum wage of \$17.00. However, general dissatisfaction from the New York City population contrasts with this comparison [13].

The observed disparity could be due to an improvement in living standards. Nowadays, frequent healthcare visits, higher education, more nutritious food, and more comfortable transportation means are much more valued than they were 57 years ago. Additionally, in the 1970s, New York City started providing fewer social services [6]. As a result, individuals had to bear the burden of minimized sanitation efforts and after-school programs [16].

Broader Impact

With New York City's current economic climate, our efforts to recalculate the minimum wage using more objective means is substantial for a variety of reasons, the most impactful one however is the introduction of finally using objective means to determine the minimum wage as opposed to government officials deciding subjective values. For example, earlier we touched on Mamdani's intentions to increase the wage to \$30 by 2030. Regardless of whether or not you agree with this plan, the basis of Mamdani choosing \$30 had nothing to do with calculations, but rather subjective opinion of what he thinks is appropriate, which has been how the minimum wage has been since its original value in 1960. The problem with that is this forces people to be subjected to wage values that are arbitrarily determined, without officials needing to provide a justification for the change or lack of change in wages, as seen during 2020 - 2023 where inflation peaked due to COVID-19, but yet workers were still being paid \$15 throughout this period. This provides a danger to both employers and employees.

The danger to employees is apparent when wages are too low, since they result in workers being unable to purchase the goods and necessities that their labor was supposed to provide them. However, the negative consequence for employers comes in the form of wage values being set too high, without taking into account the current economic circumstances such as unemployment and low inflation. For example, increasing wage values during a period where unemployment is steadily increasing causes a negative feedback loop where employers and companies are not producing enough capital due to the already limited labor supply, which then forces them to decrease that labor supply even more with layoffs if they're then forced to pay higher wages to the workers they have. Another potential effect of wages being arbitrarily determined is that higher wages often lead to people increasing their spending which in turn increases demand for products, leading to an increase or inflation of prices down the line.

By finally examining minimum wage from the perspective of inflation, we limit the consequences that employers and employees face as a result of wage values changing or being held constant without proper economic justification. In establishing a minimum wage that changes according to economic factors, we argue that the impact is in the form of a more equitable minimum wage that is not only suitable for employees but also economically sustainable for employers and businesses.

Lastly, based on the results of Figure B, we see that adjusting the minimum wage for yearly inflation since 1968 actually yields a lower wage value than what we have in the present-day. Although this contradicts our initial prediction and hypothesis, the benefit of these results is that it only further proves that simply calculating minimum wage objectively isn't enough, we must also incorporate a method of being able to evaluate its effectiveness as we mentioned before. This evaluation then reveals whether or not additional factors need to be incorporated within our initial calculations in order to ensure the calculated wage truly is the "ideal" based on what's needed to sustain a good standard of living. When examining the results from Figure B and situating it within the context of policies seeking to tie minimum wage to inflation starting in 2027, we see a possibility for this new approach to still fall short. The fact that the adjusted minimum wage is less than the minimum wage paid to workers today isn't an indication of a miscalculation on our part, but rather a signifier that even when inflation is accounted for, there are still additional economic factors that are needed to ensure the minimum wage truly performs its desired function.

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